

Olevel Economics

Chp:- Demand and Supply

Topic:- changes in quantity demand and
changes in demand



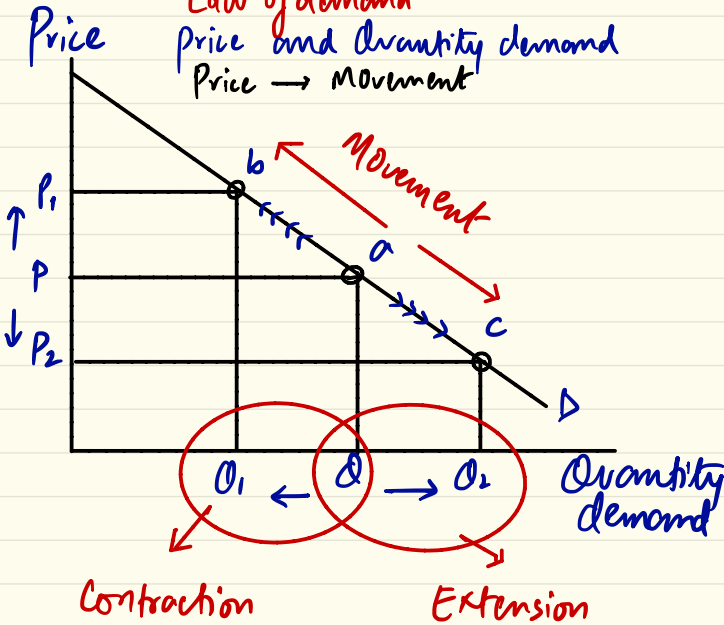
Zarak
Mushtaq

Changes in quantity demand

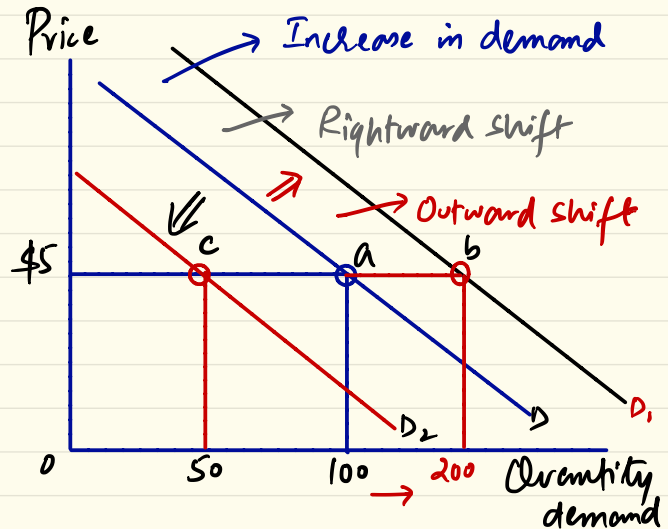
vs

Changes in demand → other factors

Law of demand
Price and quantity demand
Price → Movement



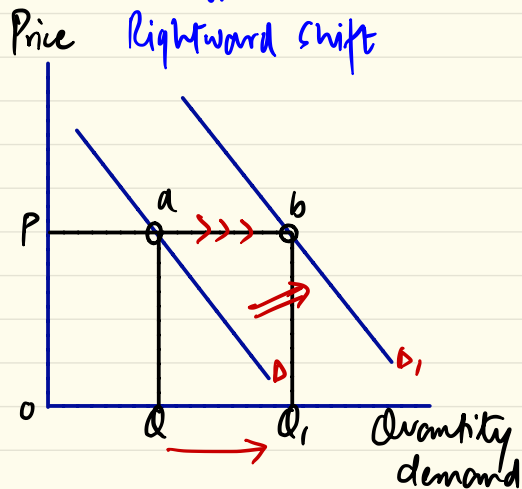
e.g. Income ↑ (Zm's Income ↑)
Bounty chocolate price was \$5
Earlier → 100 units bought
Income ↑, Demand ↑
200 units bought at \$5
Price remains unchanged



Note:- Changes in quantity demand is due to changes in price. An increase in price contracts quantity demand and a decrease in price extends quantity demand. Changes in demand is due to other factors, causing shift in demand, that can be rightward or leftward. Example can be changes in income

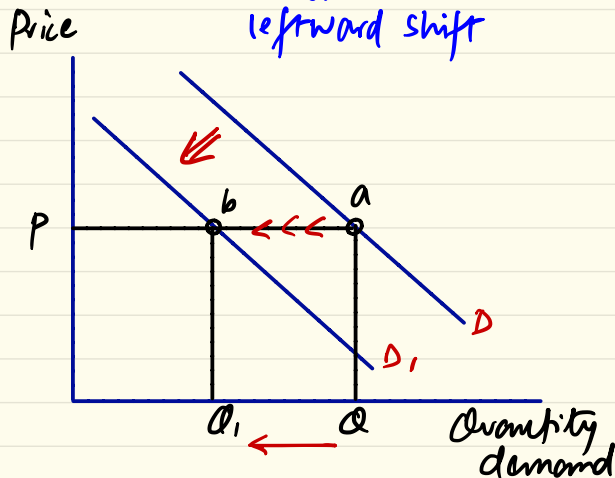
Increase in demand

or



Decrease in demand

or



Questions (H.W #3)

Marks: 10

- Q1 Using diagrams, explain the difference between changes in quantity demand and changes in demand? 6 (movement vs shift)
- Q2 Using a diagram, show the effect of increase in demand? 2 (Shift)
- Q3 Using a diagram, show the effect of decrease in demand? 2 (Shift)